

Quarterly Report
Q3 2026

Oct 02nd, 2026

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Mission, Vision, and Values

In our first ever quarterly report we shared our mission, vision, and values statement to serve as a guiding light throughout our growth and development as an organization. We will continue to highlight these at the beginning of every report to keep our ultimate goals fresh in mind.

Our Mission

Decentralize the ownership structures of the world's marketplaces.

Our Vision

Deploy a platform for the creation and operation of communal marketplaces as decentralized entities, build network effects around the platform via a suite of ancillary services and by fostering a third-party developer ecosystem, and leverage these network effects to supplant privately controlled marketplaces with districts that allow for open participation in the governance of markets.

Our Values

1. **Transparency** - Open and honest communication provides each person the opportunity to contribute in the most meaningful way.
2. **Autonomy** - We supply the tools and information to do the job, but trust one another to get that job done.
3. **Inclusion** - We welcome participation from all colors and creeds, across all borders and nationalities. We are empowered by the diversity of our ideas because competition breeds strength.
4. **Decentralization** - We seek the path of broadest consensus, and work to align motivations through incentives, not instigation.

Product

Building on Q2's foundation, Q3 focused on bringing Insert Coin into regular community use, advancing AquaPrime's implementation, and continuing the work to make district development more accessible. Insert Coin began hosting streamed tournaments, while AquaPrime development concentrated on administration tools, world visualization, and integrating core features from the MVP codebase.

Shared infrastructure also received attention throughout the quarter. Engineering work included substantial refactoring, responding to the shutdown of Infura's IPFS service, maintaining and updating clusters, and shutting down older development and production environments. These efforts supported the ongoing upkeep of the network alongside development across individual applications.

District Registry

Work on the District Registry continued this quarter, with refactoring and a longer-form proposal exploring how the network can better support developers working across different programming languages. The direction remains connected to district0x's original vision of shared infrastructure supporting independently developed marketplaces and communities, while accounting for the growing role of vibe coding and AI-assisted development.

The work is exploring a less infrastructure-specific approach to district participation, alongside a potential grant-matching component. The objective is to make the network more accessible to builders without requiring them to adopt a single development stack. These ideas remain in development and do not represent a finalized framework or implementation commitment.

Research into regulatory developments also continued to inform the evaluation of potential token-economic approaches. This remains exploratory work, with no new token model or changes to network economics announced this quarter.

Streamtide

Following the completion of its core feature set in Q2, StreamTide remained live and available throughout the quarter. Development priorities continued to favor AquaPrime and Insert Coin, in line with the decision to focus resources on opportunities for practical collaboration across districts.

AquaPrime retained its role as StreamTide's marketing arm, with work on the game remaining the principal related development effort this quarter. No additional StreamTide feature releases are being announced in this report.

Ethlance

Ethlance remained part of the network's ongoing development work during Q3. Alongside the broader upkeep of district0x infrastructure, the project continued to advance without a separate major feature release or launch milestone to announce this quarter.

Aqua Prime

AquaPrime development continued across both its underlying implementation and the tools used to manage and present the game world. Following delivery of the MVP codebase, work began on selectively porting core features into the active development stack. This integration remained an ongoing process rather than a completed public release.

A new administration panel was implemented to support management of the game's NFT-related content. The panel includes tools for NFT profile generation, skin management, and trait management, making it easier to configure and maintain the characteristics and visual elements associated with game NFTs.

The stream view gained a narrator character and an integrated text-to-speech client. The narrator describes events taking place on the map in real time, giving viewers another way to follow activity within the game world. Basic lip synchronization was also implemented to coordinate the character's mouth movements with the generated speech.

Another major area of engineering work was converting the previous 2D canvas-based map implementation into a 3D environment. The updated map supports terrain elevations, biomes, water, and terrain-specific features, with the appearance and structure of the landscape varying according to terrain type. This work improves how the game world is represented while providing a foundation for further visual development.

Initial work also began on displaying NPCs within the 3D map and implementing their animation and movement. Their first behavior allows them to wander within assigned tiles or areas, adding activity to the world while keeping movement tied to their designated locations.

Breeding mechanics continued to be tested separately before potential integration into AquaPrime. The intention is to use practical testing to inform that implementation, rather than introduce unproven mechanics directly into the game. Collaboration with Insert Coin also continued around a proposed tournament, with event details still under development.

Insert Coin

Q3 marked the beginning of Insert Coin's streamed tournament series and a more direct test of the platform with fighting game communities. Attendance at CEO 2026 provided an opportunity to build relationships, gauge interest in recently released games, and bring players into the tournament series.

The debut streamed tournament took place on September 16 and ran for six and a half hours. It reached 288 peak viewers and 447 unique viewers, generating 654 live views, participation from 39 people in chat, and 36 new followers. The event also brought new player profiles to the platform, providing an initial indication that tournament programming could translate community interest into participation.

In the team's October follow-up, four additional weekly Marvel Tokon tournaments had been completed, with tournament nights maintaining an average of 14–18 viewers. For the 30-day period covered by that update, the team reported 48 new followers, 19 subscriptions, 46 Insert Coin profile creations, and approximately 35 hours streamed. This growth was organic. These figures extend beyond the end of Q3 and are included as an update on the series following its September debut.

The same October update reported 513 gasless transactions and confirmed that every prize pot had been paid out. Gasless participation continues to reduce onboarding friction by allowing players to join and play without first holding ETH.

Automated Avatar Legends tournaments were also running on the platform. Players receive 12 hours to complete each match, allowing the bracket to progress without a tournament organizer manually coordinating every stage. This extends tournament activity beyond scheduled stream nights.

Testing work is expanding to support additional match formats. Although 2v2, 5v5, and 6v6 functionality is already coded into the smart contract, live matchmaking has so far been limited to 1v1. The team is introducing AI-assisted testing to cover more match scenarios and reduce the manual testing effort required before additional formats can be made available.

Website updates have also expanded the options for withdrawing winnings. Players can withdraw through Coinbase, send funds to another wallet, or bridge from Base to Solana, including sending USDC to a Phantom wallet. Updated instructional videos will continue to accompany onboarding as the platform develops.

The next phase centers on maintaining consistent weekly Tokon tournaments and reaching organizers in other games, including communities beyond fighting games. Planned promotional appearances include VGA Amateurs within the NYC Collegiate Esports Circuit and a future Frosty Faustings event.

Marketing

Marketing during Q3 focused on community participation, direct outreach, and improving the systems supporting ongoing communication. Insert Coin's tournament debut provided a practical way to introduce players to the platform, while event networking and collaboration with tournament organizers helped establish relationships within the fighting game community.

The emphasis remained on building repeat participation rather than relying solely on launch promotion. Regular streams, instructional content, and community outreach are being used together to help players move from discovering Insert Coin to creating profiles and entering matches. Work also continued on an upcoming Insert Coin collaboration connected to AquaPrime, although a confirmed event schedule is not being announced in this report.

For AquaPrime, much of the quarter's effort remained focused on implementation and preparation rather than a broader promotional rollout. Porting core MVP features and testing supporting mechanics took priority, keeping external activity aligned with the game's development status.

At the network level, the CRM was completed and migration away from SaaS tools, including MailChimp, progressed. Related workflow improvements remain under exploration. These changes support a more directly managed approach to outreach and community communication as district0x continues developing its applications and broader network direction.

Financials

Balance Sheet & Income Statement

Assets

CURRENT ASSETS*	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
BTC	$9,822,367	$10,700,000	$11,460,000	$8,834,200	$6,910,100	$5,887,700	$8,344,400
ETH	$7,053,564	$4,561,158	$8,437,824	$6,098,544	$4,383,072	$3,262,680	$5,503,464
DNT	$4,752,000	$4,734,000	$4,554,000	$2,268,000	$1,476,000	$918,000	$1,386,000
GRT	$5,358,000	$6,340,300	$5,333,200	$2,224,400	$1,634,800	$1,179,200	$1,179,200
KEEP	$0	$0	$0	$0	$0	$0	$0
Stable Coin	$0	$0	$0	$0	$0	$0	$0
Prepaid Expenses	$0	$0	$0	$0	$0	$0	$0
TOTAL CURRENT ASSETS	**$26,985,931**	**$26,335,458**	**$29,785,024**	**$19,425,144**	**$14,403,972**	**$11,247,580**	**$16,413,064**

LIABILITIES

CURRENT LIABILITIES	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Short-Term Debt	$0	$0	$0	$0	$0	$0	$0
TOTAL CURRENT LIABILITIES	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**

INCOME	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenues	$0	$0	$0	$0	$0	$0	$0
Cost of Goods Sold	$0	$0	$0	$0	$0	$0	$0
GROSS PROFIT	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**

EXPENSES	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Contractor Wage	$280,900	$280,900	$280,900	$280,900	$280,900	$280,900	$280,900
Technology and Development	$12,100	$46,077	$22,291	$8,665	$7,859	$7,998	$6,742
Marketing and Sales	$0	$0	$0	$0	$0	$0	$0
General and Administrative	$11,514	$9,091	$15,332	$7,302	$7,620	$7,990	$10,172
Other	$0	$0	$0	$0	$0	$0	$0
TOTAL EXPENSES	**$331,988**	**$304,514**	**$336,068**	**$296,867**	**$296,379**	**$296,888**	**$297,814**
OPERATING PROFIT	**-$331,988**	**-$304,514**	**-$336,068**	**-$296,867**	**-$296,379**	**-$296,888**	**-$297,814**

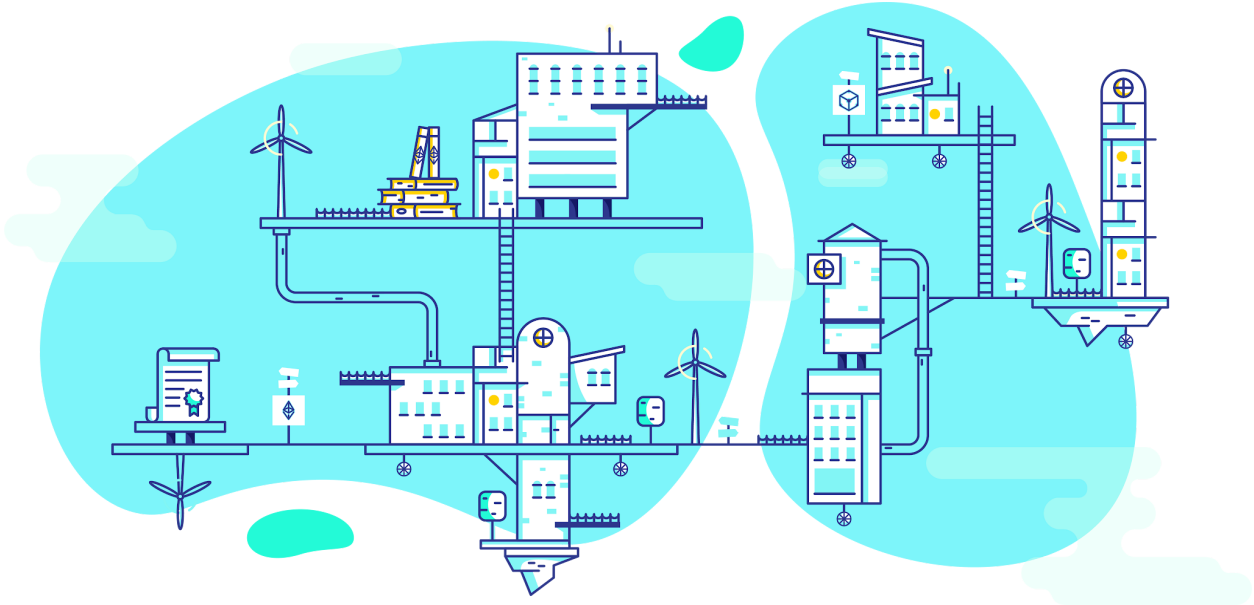
Summary

Q3 2026 brought district0x closer to the practical, community-facing direction established earlier in the year. Our efforts will continue to build on the momentum of the work completed this quarter.

We aim to further develop the tools, architecture, and applications that best reflect the needs of our community and the direction of the market, while continuing to improve accessibility for both users and developers across the district0x ecosystem.

We encourage everyone to stay connected through our platforms, participate in our discussions and follow along as we continue shipping new experiences across the network. We remain optimistic in the future of blockchain and will continue to build towards it.

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Learn More

For more information about the district0x network,

- Head to our Onboarding Terminal for all links at a glance
- Check out our Education Portal for all things #web3
- Join the official Discord server or Telegram channel
- Watch our YouTube intro video and live stream on Twitch.tv
- Subscribe to email updates or to our Subreddit forum
- Follow us on Twitter, Facebook and Instagram